

Campaign Contributions and Bureaucratic Oversight: A Case Study of the Federal Energy Regulatory Commission

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Arnold's Impact: Studying Congress-Bureaucracy

- Arnold's classic book *Congress and the Bureaucracy: A Theory of Influence*
 - Theory of bureaucrats and legislators who *anticipate* how others will react to their actions.
 - Legislators anticipate how constituents will react to their behavior
 - Bureaucrats anticipate how the decisions they make will affect members of Congress.

How do legislators signal to bureaucrats?

New insight via: legislator's letters to bureaucracy

Larger Project: Congress-Bureaucracy Correspondence Data

- 250+ FOIA requests to 233 federal agencies (a census)
- All Agency Data Coverage: 2007-2018
- We began placing these requests 3.5 years ago.
- 200,000+ legislator requests (and counting)

Format of Data We Received

- Digital Spreadsheets
- PDFs
- Scans of Handwritten Documents
- CD-ROMS
- Photocopies

Why Study the Federal Energy Regulatory Commission?

- What FERC Does:

- Regulates electricity markets, oil and gas pipelines, hydropower projects, and liquified natural gas export projects.
- Makes policy and enforcement decisions that have major consequences for jobs, lives, profits and the cost of the commodities it regulates.
- The commission's decisions have major implications for business profits and for the consumers they serve.

Why Study the Federal Energy Regulatory Commission?

- Hard case to find congressional influence
- Designed to be insulated from political influence
 - Independent non-partisan commission.
 - The five commissioners are appointed to staggered 5-year terms, and no more than three can be from a one party
- Yet ... FERC receives hundreds of letters from Members of Congress each year

Examples of FERC Letters

Example of Energy Project Advocacy

ALEX X. MOONEY
2ND DISTRICT, WEST VIRGINIA

FINANCIAL SERVICES COMMITTEE

SUBCOMMITTEE ON
CAPITAL MARKETS AND
GOVERNMENT SPONSORED ENTERPRISES
SUBCOMMITTEE ON
MONETARY POLICY AND TRADE

Congress of the United States
House of Representatives
OFFICE OF THE CLERK
WASHINGTON, DC 20540-5002

2017 OCT 19 P 3:10
FEDERAL ENERGY
REGULATORY COMMISSION

CHARLESTON OFFICE:
405 CANTER STREET
SUITE 310
CHARLESTON, WV 25301
(304) 626-1064

MARTINSBURG OFFICE:
300 FORECAST AVE
SUITE 102
MARTINSBURG, WV 25401
(304) 288-4670

WASHINGTON OFFICE:
1200 LOMBARD STREET, SUITE 200
WASHINGTON, DC 20005
(202) 225-2711

<http://mooney.house.gov>

October 12, 2017

Neil Chatterjee
Chairman, Federal Energy Regulatory Commission
888 First Street, NE
Washington, DC 20426

RE: Dominion Energy
Supply Header Project
Docket No. CP15-555-000

Dear Chairman Chatterjee,

I am writing to express my support for the Dominion Energy, Supply Header Project that is passing through West Virginia and will improve the transmission of natural gas throughout the region.

With your recent appointment, there are many shovel ready projects that will be of great benefit to West Virginia. I know you share my concern regarding the significant backlog of project approvals—and I know you will work diligently to get these projects moving forward.

These projects in and around West Virginia stand to create over 49,000 good-paying jobs and will help jumpstart the economy in the region.

I hope that the Commission will ensure that local landowner and community interests will be carefully vetted to ensure that the project is completed in a safe and efficient manner.

I support the Dominion Energy, Supply Header Project project and hope you will act swiftly to approve this important project.

Sincerely,

Alex X. Mooney

Alex X. Mooney
Member of Congress

Example of Constituent Service Letter

SUSAN M. COLLINS
NAME
413 SENATE OFFICE BUILDING
WASHINGTON, DC 20510-1001
PH: 202-224-2106
1800-224-2106 (TOLL FREE)

United States Senate
WASHINGTON, DC 20510-1804

COMMITTEE
HOME AND ENVIRONMENTAL AFFAIRS
SUBCOMMITTEE
ARMED SERVICES
OFFICIAL COMMITTEE
ON NAME

PO Box 655
Bangor, ME 04402
April 28, 2008

Mr. Mark Whitenton
Director, Division of Congressional and
Federal Energy Regulatory Commission
888 First Street, NE, Room 11H
Washington, DC 20426

Fax: (202) 208-2106

Dear Mr. Whitenton:

Senator Collins has been contacted by [REDACTED] Agent for Wilsons on Moosehead Lake in Greenville Junction, ME with a request for assistance. [REDACTED] expressed concern that Florida Energy and Light is attempting to take over the driveway of his business and make it a public way. [REDACTED] states that turning the driveway into a public way would cause his business great hardship and asked that the Federal Energy Regulatory Commission intervene on his behalf.

Senator Collins has a strong desire to be responsive to constituent requests; with this in mind, I have taken the liberty of providing a copy of [REDACTED] letter to Senator Collins to you. Please review this matter and provide any appropriate assistance to assure that his concerns are addressed.

Thank you for your help; if you have any questions, or need additional information, please do not hesitate to contact me at (207) 945-0417.

Sincerely,

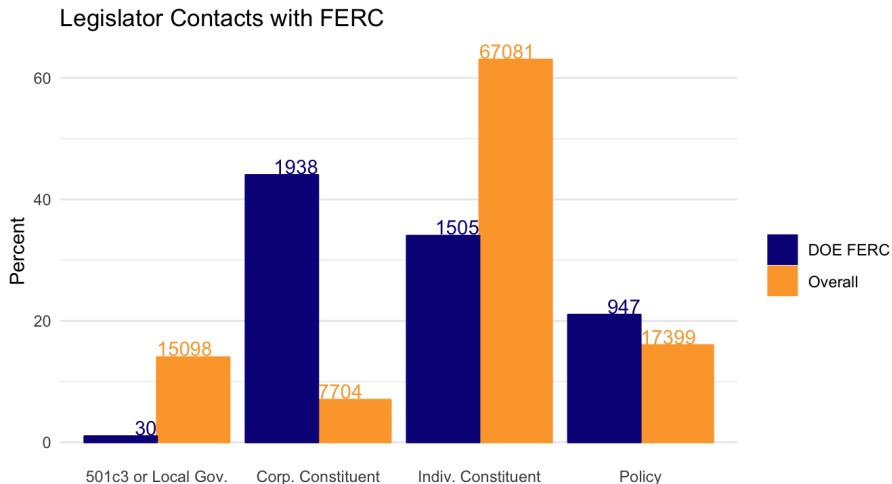
Deidre Anderson

Deidre Anderson
Staff Assistant to
Susan M. Collins

- Full text of all letters from Congress → FERC
- From January 1, 2000, and December 31, 2018
- Every letter: human coder + automated processing
- 6,988 members-level observations for 2000-2018
- 4,780 member-level observations for 2000-2012
connected to campaign donations from the energy
sector.

What Are Congressional Letters to FERC About?

The Distribution Across Types of Congressional Requests FERC vs. All* Agencies

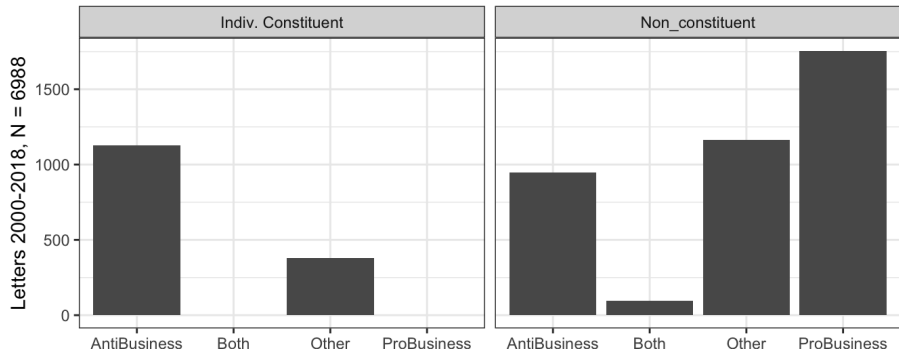


Studying the Influence of Campaign Contributions on Congressional-Bureaucratic Relations

- Avenue for Influence: Letters to FERC less visible than roll call votes
- High stakes for companies
- Corporate PAC contributions from Energy Sector
- Who Writes on Behalf of Constituents vs. Business?

What Types of Letters are Supportive of Businesses?

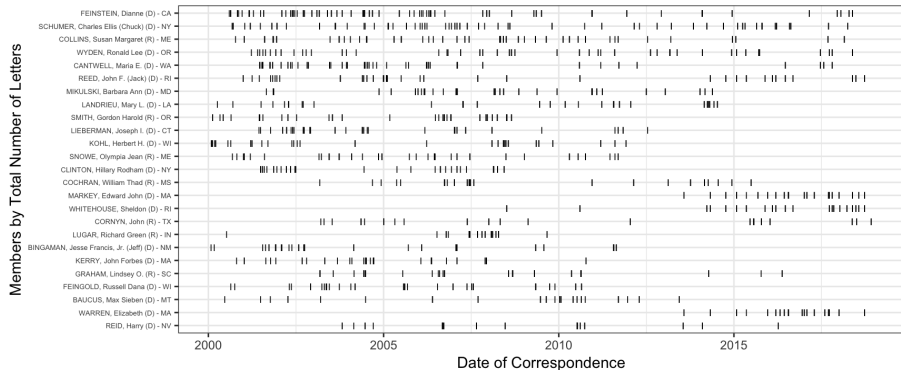
What Types of Letters are Supportive of Businesses?



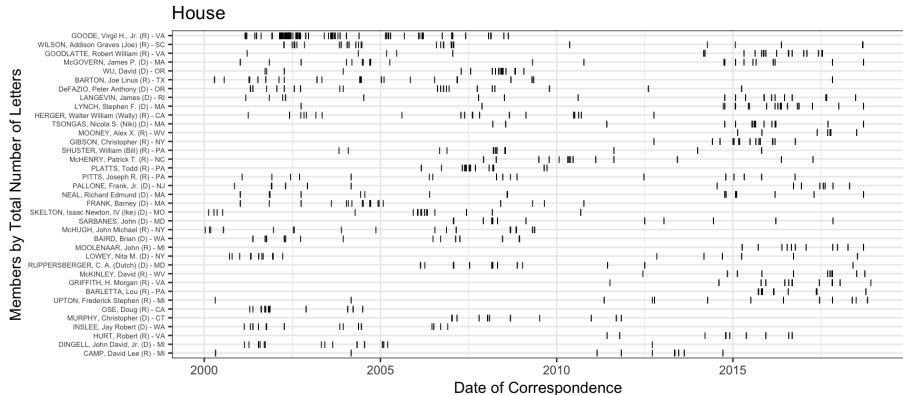
What Members Attempt to Influence FERC?

Senators Writing the Most Letters to FERC

Senate



Representatives Writing the Most Letters to FERC

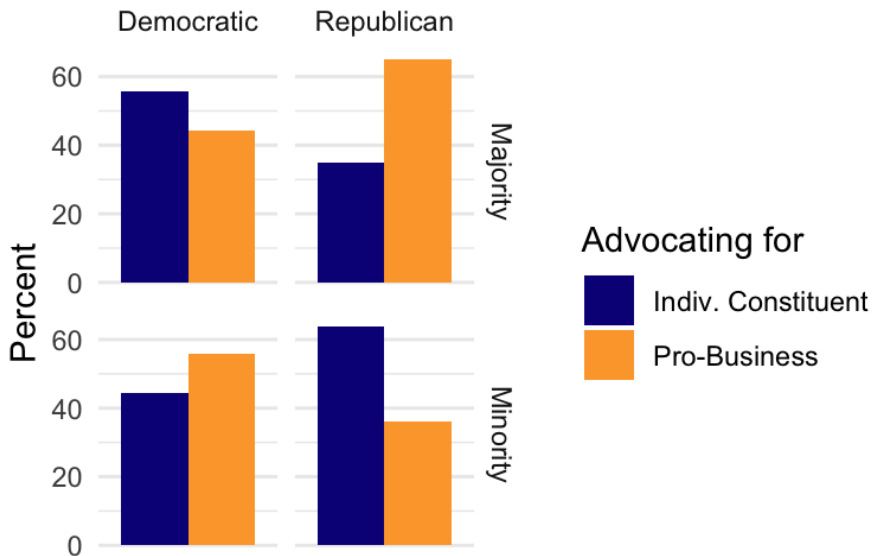


Who Writes on Behalf of Constituents vs. Business?

Who Writes on Behalf of Constituents vs. Business?

By Party and Majority Status

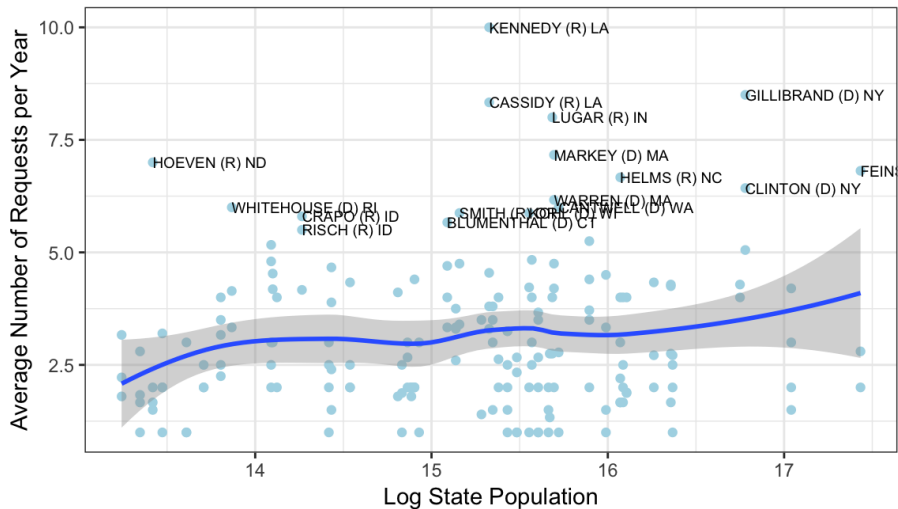
Who Writes on Behalf of Constituents vs. Business?



Demand Driven Letter-writing?

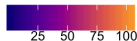
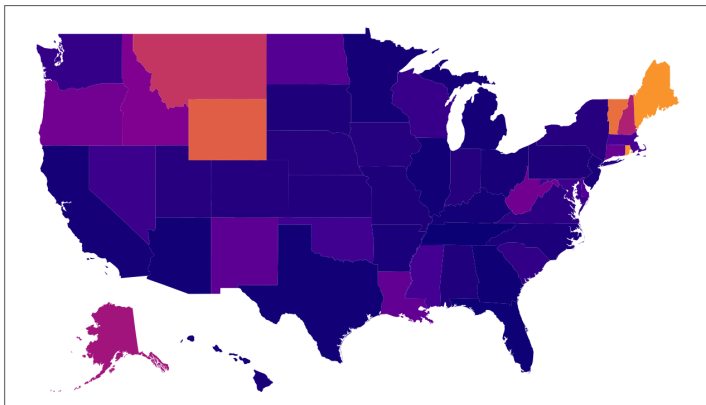
State population and Senate Letter-writing

Senator Requests per Year by State Population



FERC Contacts from Senators by State

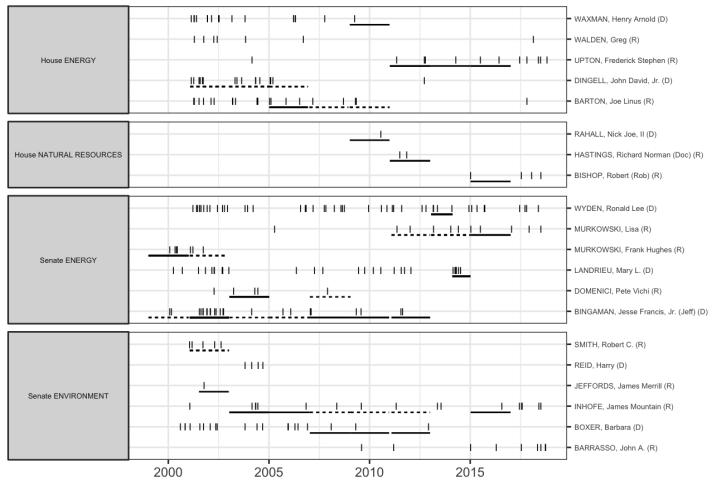
Contacts Per Million Residents from Members of the Senate



Committee Chairs Attempting to Influence FERC?

Committee Chairs Attempting to Influence FERC

Letters to FERC from Committee Leadership

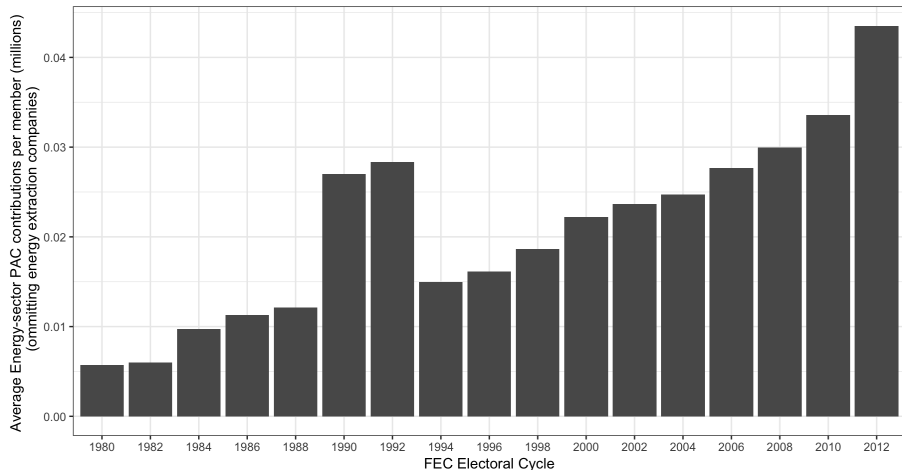


Exploring the Relationship between Letter-writing and Campaign Contributions

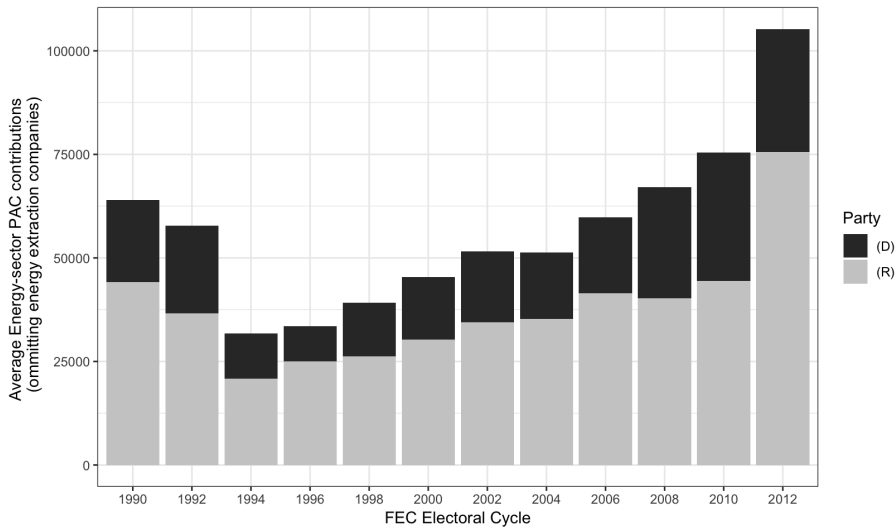
Measuring Industry Money

- Campaign contribution data from Adam Bonica's Database on Ideology, Money in Politics, and Elections
- Center for Responsive Politics' industry classification of PACs.

Average Energy Sector PAC Contributions Per Member Per Cycle

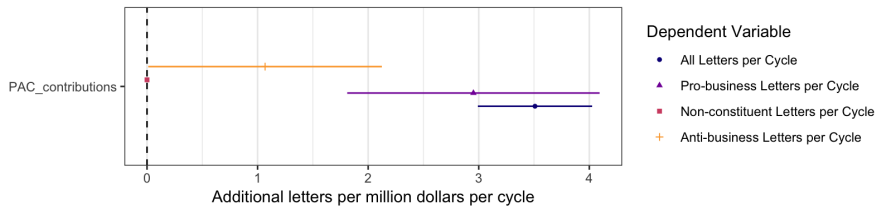


Partisan Differences in Energy \$

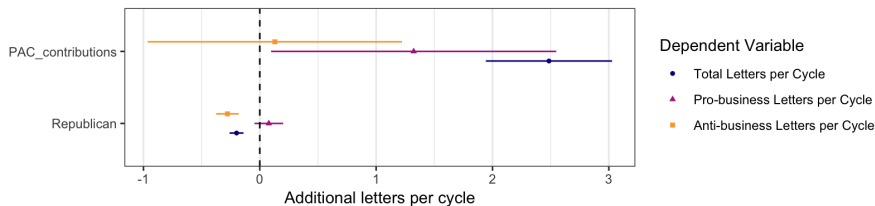


Preliminary Results: Relationship between Letter-writing and Campaign Contributions?

Campaign Contributions and Letter-writing to FERC



Campaign Contributions, Party and Letter-writing to FERC



Next Steps

- Connecting Companies in Letters to Campaign Contributions
 - Challenge: Linking Energy Projects, Subsidiary Companies and Parent Companies
- Impact of Letters on Outcomes
 - Speed of FERC Review

Conclusions

- New Window into Congressional-Bureaucracy: Congressional Letters
- Extensive advocacy on behalf of businesses
- We find that Republicans and those who receive money from the energy-sector write relatively more letters on behalf of energy companies, but not on behalf of constituents
- Democrats write comparatively more letters in opposition to energy companies

Thank you!

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May 21, 2019

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⁴Professor, Stanford University

Correspondence Data

Environmental Protection Agency

CHRISTENSEN, DONNA M-U.S. House of Representatives-D/VI/DC

Total: 28

Control No.	Status	Letter Date	Received	Subject	Last Action
AL-07-000-2996	Closed	Feb 08, 2007	Feb 23, 2007	GOVERNOR JOHN DEJONGH REQUEST A MEETING TO DISCUSS HIS CONCERNS REGARDING THE PROPOSED CLEAN AIR ACT SECTION 325 EXEMPTIONS FOR THE VIRGIN ISLANDS WATER AND POWER AUTHORITY 71 FED. REG. 74886-74895 (DECEMBER 13, 2006)-	ADMIN Kathy Callahan CC aborted due to user office changed.
AL-07-000-8271	For Your Information	May 16, 2007	May 17, 2007	HEARING/SUBCOMMITTEE ON INSULAR AFFAIRS, THURSDAY JUNE 7, 2007 AT 10:00 AM IN ROOM 1324 LONGWORTH HOB/H.R. 1075 (BORDALLO), TO ESTABLISH THE UNITED STATES TERRITORIES INFRASTRUCTURE BOND BANK AND FOR OTHER PURPOSES, (UNITED STATES TERRITORIES INFRASTRUCTURE BOND BANK AUTHORIZATION ACT)	ADMIN Pam Abraham CC aborted due to user office changed.
AL-09-000-6162	Closed	Mar 16, 2009	Apr 27, 2009	SUPPORT THE ST. CROIX ENVIRONMENTAL ASSOCIATION (SEA) APPLICATION FOR AN EPA COMMUNITY ACTION FOR A RENEWED ENVIRONMENT (CARE) GRANT	Kathy Mims Control Closed

Correspondence Data

Department of Homeland Security Immigration and Customs Enforcement (ICE)

OCR INQUIRY/CORRESPONDENCE LOG

Date	Member Office	Topic/Issue	Coordinator	Date Closed Out	SP No.
10/23/16	Sen. Steve Daines	Billings Central Catholic High School	(b)(6);(b)(7)(C)		
10/24/16	Rep. Anna Adams	(b)(6);(b)(7)(C)	(b)(6);(b)(7)(C)		
11/24/16	Rep. Lanny	(b)(6);(b)(7)(C)	(b)(6);(b)(7)(C)		
11/24/16	Rep. Brad Wurstrap	Ambassador Bible College	(b)(6);(b)(7)(C)		
11/24/16	Sen. Jeanne Graham	(b)(6);(b)(7)(C)	(b)(6);(b)(7)(C)		
11/24/16	Rep. Gordon Maloney	LJM College	(b)(6);(b)(7)(C)		

Correspondence Data

MAC THORNBERRY
13TH DISTRICT
TEXAS



Congress of the United States

House of Representatives

June 6, 2008

OFFICE OF
EXTERNAL AFFAIRS

CP08-9-000
PR08-1-000

ARMED SERVICES COMMITTEE

PERMANENT SELECT COMMITTEE
ON INTELLIGENCE

FEDERAL ENERGY
REGULATORY COMMISSION

ORIGINAL

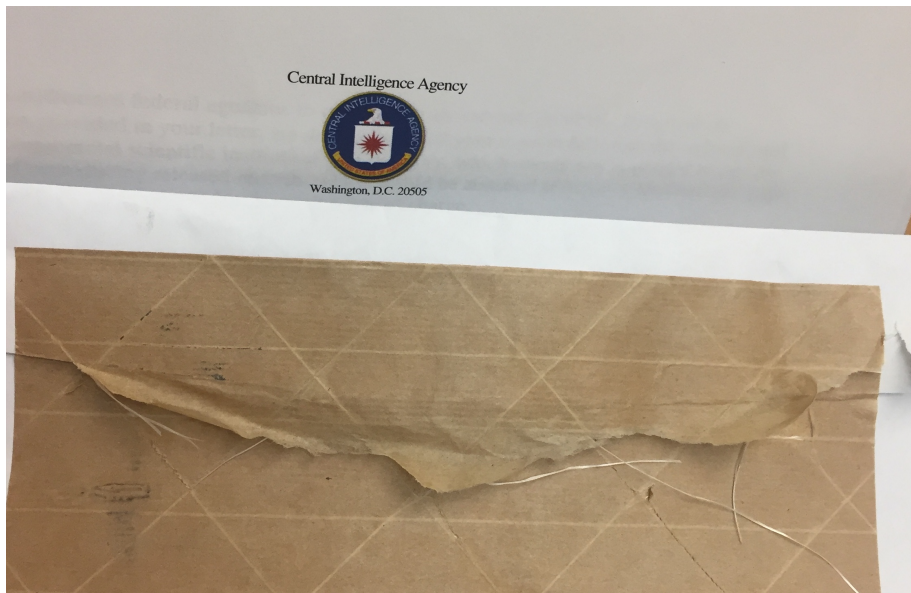
The Honorable Joseph T. Kelliher
Chairman
Federal Energy Regulatory Commission
888 First Street, N.E.
Washington, DC 20426-0001

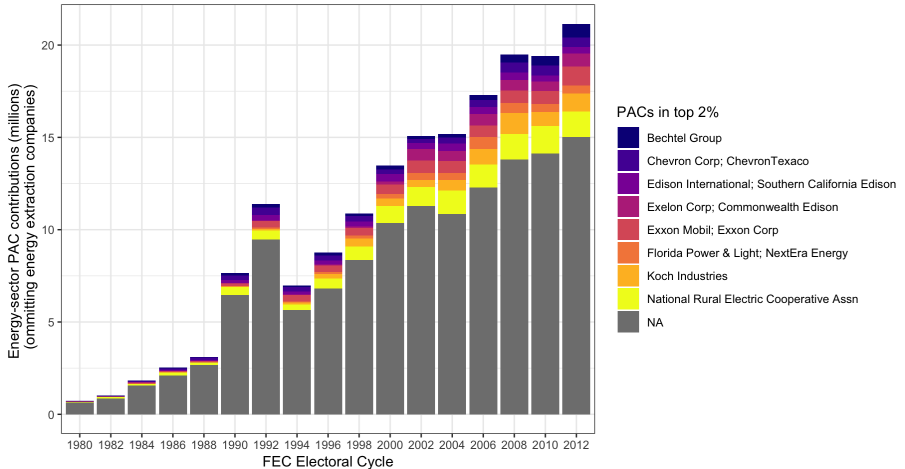
Dear Chairman Kelliher,

I am enclosing letters from Wayne Hughs, Executive Vice President of the Panhandle Producers and Royalty Owners Association, and Thomas R. Cambridge, President of Cambridge Production, Inc., regarding a pending application before the Federal Energy Regulatory Commission. Both letters are requesting an expedited evidentiary hearing on a proposed lease of firm capacity by Enogex, Inc., to Midcontinent Express Pipeline, LLC, to fully explore the impact on existing shippers. I would appreciate your full consideration of these requests.

Many natural gas producers in my district are concerned about the negative impact the pending

Agency Character: CIA #OnBrand





Unequal Money Across Energy Sector PACs

Our Correspondence Data

	FOIAed Components	Records Received	Coded	N
Department of Agriculture	29	29	11	1957
Department of Commerce	18	18	10	6875
Department of Defense	49	10	7	5479
Department of Education	1	1	1	3868
Department of Energy	8	2	1	1269
Department of Health and Human Services	15	7	5	6199
Department of Homeland Security	6	5	5	26435
Department of Housing & Urban Dev.	2	0	0	0
Department of Justice	11	1	1	903
Department of Labor	24	9	6	22936
Department of State	1	0	0	0
Department of the Interior	10	6	5	5171
Department of the Treasury	8	5	4	11143
Department of Transportation	10	6	6	18482
Department of Veterans Affairs	3	0	0	0
Independent Agencies	38	21	18	46182
Total	233	120	80	156899